

Candlestick Basics

Patterns ♦ Structure ♦ Context ♦ Precision

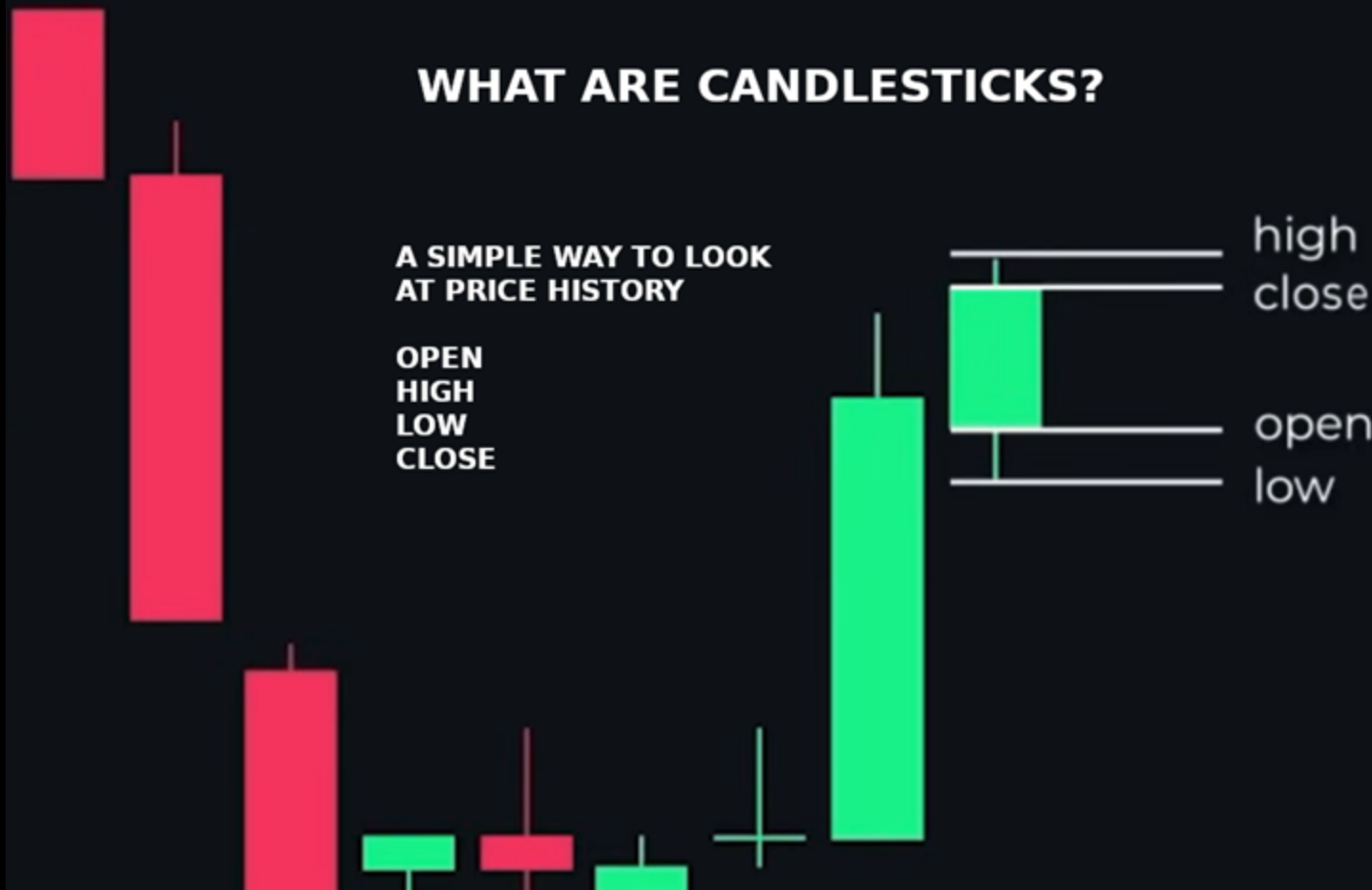
WHAT ARE CANDLESTICKS?

A SIMPLE WAY TO LOOK
AT PRICE HISTORY

OPEN
HIGH
LOW
CLOSE

high
close

open
low



2 types of candlesticks



GREEN CANDLE

a green candle is formed when the candle closes above its opening price

this indicates that the buyers were stronger than the sellers



2 types of candlesticks



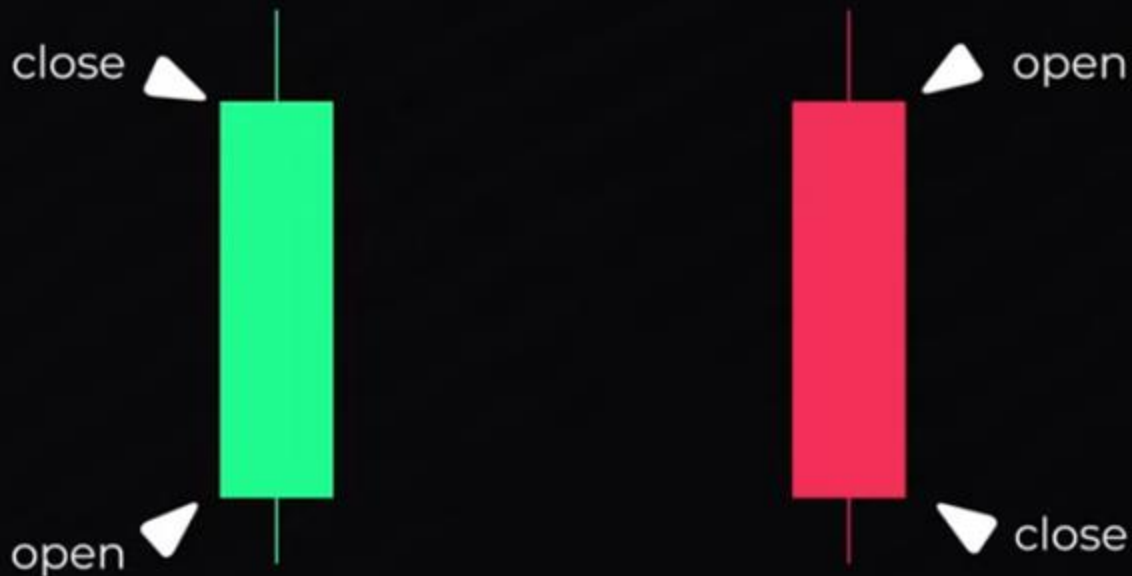
RED CANDLE

a red candle is formed when the candle closes below its opening price

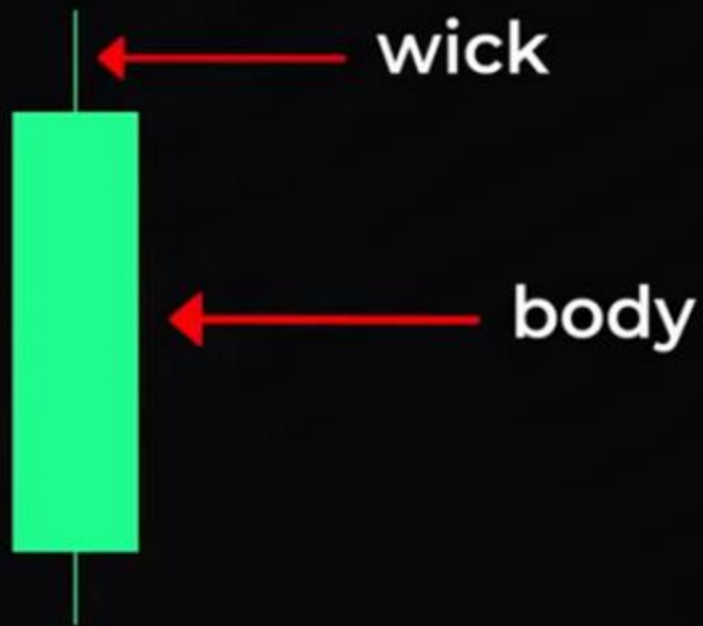
this indicates that the sellers were stronger than the buyers



anatomy of a candlestick



anatomy of a candlestick



first candlestick type:

BIG VS SMALL BODIES



green candle with a **big body**

=

buyers were **VERY dominant**

first candlestick type:

BIG VS SMALL BODIES



red candle with a **big body**

=

sellers were **VERY** dominant

first candlestick type:

BIG VS SMALL BODIES



green candle with a **small body**

=

buyers were **SLIGHTLY** stronger

first candlestick type:

BIG VS SMALL BODIES



red candle with a **small body**

=

sellers were **SLIGHTLY stronger**

second candlestick type:

LARGE WICKS ON ONE SIDE



candle with long bottom wick

=

strong buying pressure

second candlestick type:

LARGE WICKS ON ONE SIDE



candle with **long upper wick**

=

strong **selling** pressure

third candlestick type:

SMALL BODY & EQUAL WICKS

candles with **small body** and **equal wicks**
indicate that neither buyers nor sellers
are in **strong control**



Trends, Support, Resistance & Confluence



SIX BASIC CANDLE PATTERNS

Candlestick Patterns	# Candles	Type of Pattern <i>Trend</i>	Bullish	Bearish
(1) Engulfing	2	Reversal		
(2) Pinbar	1	Reversal		
(3) 3-Bar Reversal	3	Reversal		

Candlestick Patterns	# Candles	Type of Pattern	Bullish	Bearish
(4) 3-Bar Continuation	3	Continuation		
(5) Breakout	4+	Breakout		
(6) Shrinking Candles	4	Reversal		

ENGULFING PATTERN



ENGULFING

made up of two candles :
a smaller first candle, followed
by a larger candle of
the opposite color

The key point is that the
body of the second candle
needs to fully cover the
body of the first candle

ENGULFING PATTERN



Bullish

@ SUPPORT / DOWNTREND

Trend Reversal



Bearish

@ RESISTANCE / UPTREND

PINBAR



PINBAR

a candlestick pattern made up of just one candle, characterized by a large wick on one side and a small body

PINBAR

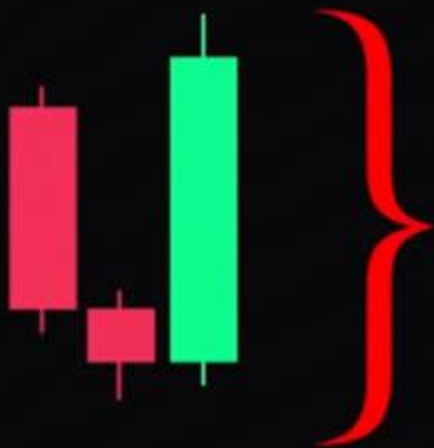


Bullish



Bearish

3-BAR REVERSAL PATTERN



3 BAR REVERSAL

This pattern consists of a sequence of three candles

1st candle: large with a nearly full body

2nd candle: smaller body but same color

3rd candle: large with a full body of opposite color (bullish case)

3-BAR REVERSAL PATTERN



Bullish



Bearish

3-BAR CONTINUATION PATTERN



3 BAR CONTINUATION

This pattern consists of three consecutive candles that need to form in sequence

1st candle: bigger than average candle

2nd candle: smaller but opposite color

3rd candle: large body closing higher than the 2nd candle (bullish case)

3-BAR CONTINUATION PATTERN



Bullish

CONTINUATION
OF CURRENT
TREND



Bearish

BREAKOUT CANDLES



BREAKOUT PATTERN

consists of multiple small candles followed by a large-bodied candle

shows that the price was stagnant for a while, with no clear direction, until one side pushed the price significantly upward

BREAKOUT CANDLES

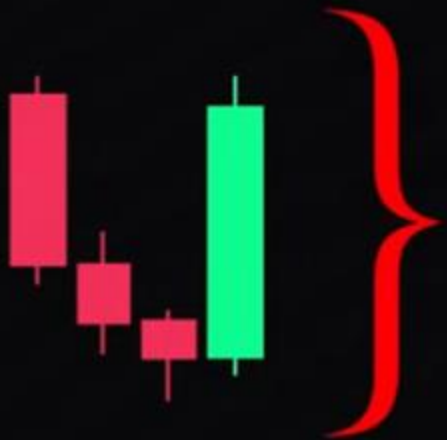


Bullish



Bearish

SHRINKING CANDLES



SHRINKING PATTERN

a pattern that consists of at least three consecutive candles of the same color, each getting smaller, followed by a large candle of the opposite color

suggests that the trend is gradually weakening, as indicated by the shrinking candles. Then, a large candle appears, confirming the reversal

SHRINKING CANDLES



Bullish



Bearish